most Americans most easily recall is the United States. However, to dismiss the wealth of investment prospects abroad as a result of this phenomenon is irrational. In reality, over 50 percent of equity market capitalization exists outside the United States. People who are unduly "patriotic" when looking for somewhere to invest often suffer from availability bias.

3. *Narrow range of experience.* Assume that an employee of a fast-growing, high-tech company is asked: "Which industry generates the most successful investments?" Such an individual, who probably comes into contact with other triumphant tech profiteers each and every day, will likely overestimate the relative proportion of corporate successes stemming from technologically intensive industries. Like the NBA star who got his start in college and, therefore, too optimistically estimates the professional athletic prospects of college basketball players, this hypothetical high-tech employee demonstrates narrow range of experience availability bias.
4. *Resonance.* People often favor investments that they feel match their personalities. A thrifty individual who discount shops, clips coupons, and otherwise seeks out bargains may demonstrate a natural inclination toward value investing. At the same time, such an investor might not heed the wisdom of balancing value assets with more growth-oriented ventures, owing to a reluctance to front the money and acquire a quality growth stock. The concept of value is easily available in such an investor's mind, but the notion of growth is less so. This person's portfolio could perform suboptimally as a result of resonance availability bias.

A Classic Example of Availability Bias

In the period 1927 to 1999, which political party's leadership has correlated with higher stock market returns? Many Wall Street professionals are known to lean Republican, so a lot of people, given this readily available information, might speculate that the markets benefit from Republican political hegemony. After all, why would so many well-informed individuals, whose livelihoods depend on the success of the stock market, vote for Republicans if Democrats produced higher returns? According to a study done by University of California at Los Angeles professors Pedro Santa-Clara and Rossen Valkanov,[2] the 72-year period between 1927 and 1999 showed that a broad stock index, similar to the Standard & Poor's (S&P) 500, returned approximately 11 percent more a year on average under a Democratic president than safer, three-month Treasury bonds (T-bonds). By comparison, the index returned 2 percent a year more than the T-bonds when Republicans